

relation to all others in the global index the fund is tracking. With an actively managed global fund, a manager will decide which countries and regions he or she wants to invest in. In both index funds and active funds, the country and regional weights will change over time.

Building your own U.S and international stock allocation is a better method than using a global fund because there are greater diversification opportunities. In addition, holding different regional funds in a portfolio and rebalancing them annually helps you control the amount of risk exposure to any particular region and currency.

CATEGORIZING GLOBAL MARKETS

Economists have traditionally divided the world into two distinct categories: developed markets and emerging markets. The difference between the two categories is based on both the size of the economy per capita and the level of development in the public stock and bond markets.

Developed markets are countries whose economy has advanced to the point where the per capita gross domestic product (GDP) exceeds approximately \$10,000 per year and that have deep and mature securities markets. Examples of developed markets include Australia, Germany, Japan, and the United Kingdom. Developed markets can be grouped into three regions: North America, Europe, and the Pacific Rim. North America includes U.S. and Canadian companies. Europe includes the United Kingdom and continental Europe. The Pacific Rim covers several major markets, including Japan, Australia, Hong Kong, and South Korea, a recent addition.

Emerging countries that do not meet the GDP requirement and have less-developed financial markets are said to be emerging. Emerging markets can be divided into early-stage frontier markets and later-stage developed emerging markets, depending on the country's progress toward a more open and free market-based economy. Examples of frontier markets include Bulgaria, Argentina, Vietnam, Sri Lanka, and Kuwait. Later-stage emerging markets are further along in their development of free markets and include Mexico, Taiwan, Russia, China, and South Africa. As a matter of interest, most emerging market mutual funds concentrate their holdings on late-stage emerging markets because those countries have the largest percentage of market capitalization.